IN THE SUPREME COURT OF THE STATE OF IDAHO

Docket No. 45679

ASPEN PARK INC.,
Plaintiff-Appellant,

v.

BONNEVILLE COUNTY,
Defendant-Respondent.

Appeal from the District Court of the Seventh Judicial District of the State of Idaho, in and for the County of Bonneville
HONORABLE JOEL E. TINGEY, District Judge

APPELLANT'S REPLY BRIEF

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The Appellant ("Aspen Park"), by and through its attorneys of record, HOPKINS RODEN CROCKETT HANSEN & HOOPES, PLLC, appeals from the decision of the District Court, and submits this Reply Brief in support of its Appeal.

ARGUMENT

1. This Court has complete authority to say what the law is.

Aspen Park asks that this Court construe Idaho Code § 63-602GG(3)(c) in a reasonable manner—a request which is no more than what was promised by Justice John Marshall in *Marbury v. Madison*, 5 U.S. 137, 163, 2 L.Ed. 60 (1803) when he stated: "It is emphatically the province and duty of the judicial department to say what the law is. Those who apply the rule to particular cases, must of necessity expound and interpret that rule. If two laws conflict with each other, the courts must decide on the operation of each."

Idaho Code § 73-113 provides the court with the tool for application in this case. It reads, in part:

> 73-113. CONSTRUCTION OF WORDS AND PHRASES.
>
> (1) The language of a statute should be given its plain, usual and ordinary meaning. Where a statute is clear and unambiguous, the expressed intent of the legislature shall be given effect without engaging in statutory construction. The literal words of a statute are the best guide to determining legislative intent.
>
> (2) If a statute is capable of more than one (1) conflicting construction, the reasonableness of the proposed interpretations shall

> be considered, and the statute must be construed as a whole. Interpretations which would render the statute a nullity, or which would lead to absurd results, are disfavored[.]

2. This case is all about a statute capable of more than one conflicting construction.

In some important particulars, the Legislature has spoken clearly and unmistakably in the matters before this Court.

> "It is hereby declared:
>
> (a) That within the state there is a shortage of safe or sanitary dwelling accommodations available which persons of low incomes can afford and that such persons are forced to occupy overcrowded and congested dwelling accommodations; that the aforesaid conditions cause an increase in and spread of disease and crime, and constitute a menace to the health, safety, morals and welfare of the residents of the state and impair economic values[.]
>
> IDAHO CODE § 67-6201.

To address these low-income housing conditions, the Legislature created the Idaho Housing and Finance Association (IHFA) and gave it powers to help alleviate unacceptable housing conditions. Furthermore, contrary to Respondent's argument, the Legislature also gave the IHFA the power to coordinate the development and maintenance of low-income housing policy for the State of Idaho, both publically and privately owned. IDAHO CODE § 67-6202 *et seq.*

The Legislature further provided that low-income housing owned by nonprofit organizations, such as Aspen Park in this case, is to be exempt from taxation. IDAHO CODE § 63-602GG.

Respondent incorrectly argues that Aspen Park is not entitled to tax exempt status because it took advantage of federal tax credit assistance provided by 26 U.S.C., Chapter 42 in constructing Aspen Park. Respondent fails to recognize that once federal tax credits have been exhausted and the property is solely owned by a non-profit, as is true of the Aspen Park's ownership of its apartments, it is entitled to the tax exemption. Idaho Code § 63-602GG(4)(c). That legislative prescription is explicit.

The foregoing legislative framework for development of low-income housing in the State of Idaho is clear, it could not be more plain. The Legislature need not be asked to speak again. By definition, Appellant is entitled to tax exempt status under Idaho Code § 63-602GG.

3. All of Appellant's rental units are dedicated to low-income housing as required by Idaho Code Sec. 63-602GG(3)(c).

The positions taken by Respondent and by the Amicus Curiae in this case make clear that this specific statutory provision, and in particular the word "dedicate" are capable of more than one conflicting construction.[1]

[1] See also IDAHO CODE § 42-401 (stating that "The State of Idaho is dedicated to the conservation of its public waters and the necessity to maintain adequate water supplies for the state's water requirements.") (emphasis added); § 36-408 (stating that the Fish and Game Commission is authorized to issue two special bighorn sheep tags per year, auctioned off or disposed of by lottery by "an incorporated nonprofit organization dedicated to wildlife conservation, selected by the commission.") (emphasis added); § 63-605 (providing for a special tax status for land owned and used for wildlife habitat by a private, nonprofit corporation which is "dedicated to the conservation of wildlife or wildlife habitat[.]")

The Statute requires, and Aspen Park complies by renting its low-income housing units to persons of various income levels in percentages equal to, or greater than required. All units are dedicated to low-income housing, and at times are rented to more or fewer qualifying residents, but never in percentages less than are required by the statute. Aspen Park's compliance with the statute is subject to an annual audit by IHFA, and it has never failed. The supply of such units is dedicated to low-income rentals. The demand varies.

Respondent's argument concerning the income requirements in Idaho Code § 63-602GG(3)(c) completely fails to take into account two important words: "or less."

> (c) Except for a manager's unit, all of the housing units in the low-income housing property are dedicated to low-income housing in the following manner: Fifty-five percent (55%) of the units shall be rented to those earning sixty percent (60%) or less of the median income for the county in which the housing is located; twenty percent (20%) of the units shall be rented to those earning fifty percent (50%). or less of the median income of the county in which the housing is located; and twenty-five percent (25%) of the units shall be rented to those earning thirty percent (30%) or less of the median income for the county in which the housing is located.

(emphasis added). The only reasonable interpretation of the income categories would be that each category has an income ceiling, but no income floor. For instance, for the first category ("Category A"), fifty-five (55%) of the units

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(emphasis added); § 48-1501 (stating that "nonprofit hospitals hold assets in charitable trust, and are dedicated to the specific charitable purposes set forth in the articles of incorporation of the nonprofit corporations[.]") (emphasis added).

must be rented to those earning from 0-60% of the median county income. For the second category ("Category B"), twenty percent (20%) of the units must be rented to those earning from 0-50% of the median county income. And, for the third category ("Category C"), twenty-five percent (25%) of the units must be rented to those earning from 0-30% of the median county income. "Or less" in each case could have no other meaning than an income floor of zero.

Respondent's interpretation—that the three categories are completely income independent of each other—would add language and meaning to the statute that is simply not there. For instance, the first category (Category A) would of necessity have to read something like this: "Fifty-five percent (55%) of the units shall be rented to those earning sixty percent (60%) or less of the median income of the county in which the housing is located, but not less than 50% of the median income of the county in which the housing is located." (language and emphasis added). That interpretation is simply not reasonable. The words "or less" in the statute could not be any clearer.

Considering that Aspen Park has 72 units, and applying the statutory percentages to those numbers, Aspen Park clearly meets or exceeds every income category. Aspen Park has 51 units rented to those earning "sixty percent (60%) or less" of county median income; 45 units rented to those earning "fifty percent (50%) or less" of county median income, and 20 units rented to those earning

"thirty percent or less" of county median income:[2] What is to be done with those units for which there is no demand by qualified applicants? Respondent contends they should stand vacant. The Legislature did not think so. It supplied the answer to that question by prescribing the purposes for the Idaho Housing and Finance Association to which it gave the role and responsibility of developing and maintaining low-cost housing for the State, to wit:

> That the clearance, replanning and reconstruction of the areas in which unsanitary or unsafe housing conditions exist and the providing of safe and sanitary dwelling accommodations for persons of low incomes (which dwelling accommodations need not be solely for persons of low incomes in order to avoid concentrations of such persons in specific localities), are public uses, and uses and purposes for which public money may be spent and provide property acquired, and are governmental functions."
>
> IDAHO CODE § 67-6201 (c) (emphasis added).

There can be no misunderstanding that plain language. Appellant's reference to so-called "safe harbor" rules in federal legislation dealing with low-income housing made in its opening brief was to offer the Court a constructive, analogous example of statutory policy dealing with issues like those before this Court. That example is also consistent with the purposes as stated in Section 67-6201. While the Respondent would urge the Court to forfeit its duty to say what the law is, there is no basis for such an argument when the Legislature has expressed itself in such

[2]Furthermore, applying the statutory requirements to Aspen Park's 72 units creates the following requirements, all of which Aspen Park exceeds: 55% of 72 units is 39.60; 20% of 72 units is 14.40, and 25% of 72 units is 18.

language which is consistent with other analogous legislative expressions arising in similar circumstances.

If the Court determines that the Legislature has left it with any ambiguity in this case, the Court's recent decision in *Hammer v. City of Sun Valley*, 163 Idaho 439, 414 P.3d 1178, 1184 (2016), should control. There it was held, "to determine [legislative] intent, we examine not only the literal words of the statute, but also the reasonableness of proposed constructions, the public policy behind the statute and its legislative history."

4. Aspen Park is entitled to its costs on appeal.

As the prevailing party on appeal, Aspen Park is entitled to an award of its costs as a matter of course, pursuant to Idaho Appellate Rule 40.

CONCLUSION

Aspen Park has conducted its operations, subject to IHFA's regulations, supervision and audits, in compliance with all of the controlling provisions of Idaho law, and it is entitled to continue to do so exempt from Bonneville County's real property taxes.

For the foregoing reasons, and those stated in Aspen Park's previously filed Brief, the Court should reverse the Judgment of the Seventh Judicial District Court and declare Aspen Park to be tax exempt under the provision of Idaho Code Sec. 63-602GG. Aspen Park should also be awarded its costs on appeal.

Respectfully submitted this 11th day of July, 2018.

This brief contains 1827 words and complies with the word-count limit of I.A.R. 34(b).

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 11th day of July, 2018, I caused to be served a true copy of the foregoing attached document by the method indicated below and addressed to each of the following:

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